

## **Regulation and Governance**

**Irresponsible and unethical use of AI and Generative AI invites potential high risks along with the benefits they add to the technology and innovation landscape. And these risks are likely to amplify with more widespread adoption. Risks and Threats of AI need to be managed carefully.**

**Risks Associated with use and misuse of AI includes**

- **Intellectual Property, if accidentally included for training and shared publicly for access leads to the erosion of the competitive advantage. The surge of Chinese firm Deepseek.ai is a very eye opening and living example, wiping out billions of dollars in evaluation for firms investing in the research and development of models for many years**
- **Reputation – Generated deepfakes can negatively impact the businesses, society and politics of sometimes leading to irreparable damages.**
- **Fraud – AI and specifically Generative AI can be used to create abusive fraudulent content and malwares presenting added cybersecurity risks**

**Risks Mitigation with Governance**

**Regulatory measures to develop global AI compliance view, collaboration with regulators, monitoring compliance measures in place**

**Reputation Management by establishing AI governance and ethics office, security and privacy controls, model audits for robustness**

**Competency development by upskilling for employees and general public with personalized training and workshops, modernizing data management and analytics services including upgrading of IT infrastructure and legacy and outdated data platform services to Cloud based data management services**

